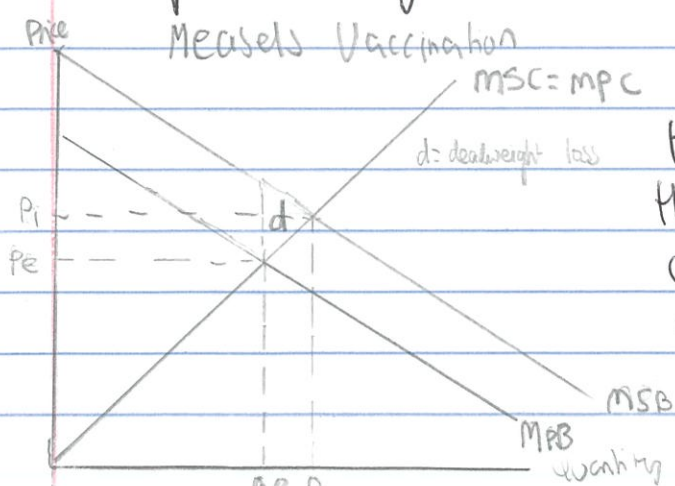


Market Failure occurs when free markets fail to deliver an efficient allocation of resources from the point of view of society. Efficient referring to a level of output that maximises total welfare for society. Market failure can be caused by a variety of factors including ~~one~~ ^{containing} positive and negative externalities, and common property goods.

One contemporary example of market failure in Australia in which government intervention has been taken is the NNF vaccination for Measles. Measles ~~have~~ ^{is} which has a positive externality, resulting in a misallocation of resources. Measles have been a significant health threat in Australia with over 12 reported cases in 2019 already. The reason for this national health threat is an underconsumption of the NNF vaccination. The vaccination prevents the spread of measles and provides herd immunity. A positive externality is defined as a positive external effect arising from production/consumption for which no appropriate compensation is paid. Because the NNF vaccination is beneficial to external third parties by preventing others catching disease, it has a positive externality. This also means it's a public good and is being underconsumed by society, resulting in Market Failure. — under allocation



Due to its positive external benefits, the marginal private ~~curve~~ ^{benefit} curve is lesser than the marginal social ~~curve~~ ^{benefit} curve. Although the free market is operating at Q_{E} it is being underconsumed as the most optimal efficiency is at Q_{P} . Thus there is a misallocation of resources, and market failure occurs, with deadweight

To attempt to reduce the effects of market failure, the Government has intervened, attempting to internalise the externality. One way that they have done this is through the ~~National~~ subsidising vaccinations. Under the National Immunisation Act in 2017, vaccinations were made cheaper and free for children and refugees. This is an attempt to increase the ~~social~~ private marginal benefit derived from the measles vaccinations, thus internalising the externality.

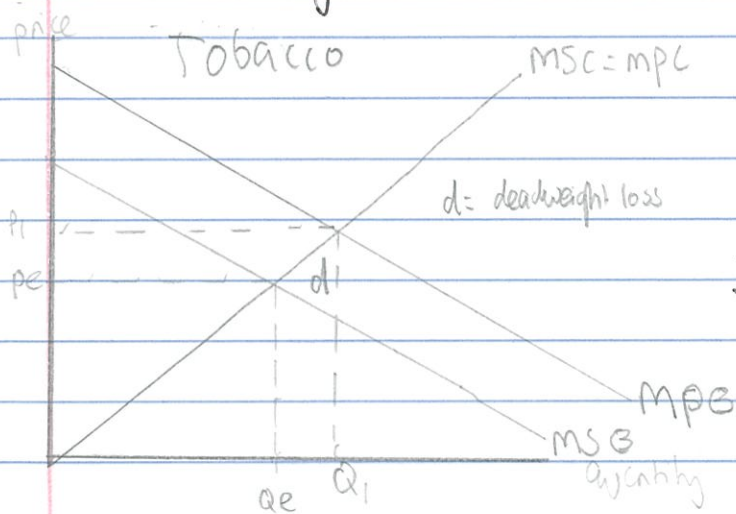
The Government has also introduced legislation like the 'No job No pay' Act which seeks to remove family aid or benefits from families who don't vaccinate. Arguably in attempting to increase efficiency this way, however, they have sacrificed equity. As vaccinations are fairly expensive, more low income households are likely to be disproportionately disadvantaged by this method of intervention.

Finally, the Government has sought to use public messaging and advertising to highlight the importance of vaccinations in order to increase consumption and drive demand.

Overall these strategies have been fairly successful. In 2018, after the introduction of subsidies on vaccinations, the rate of children vaccinated nationally rose from 92% to 94%. Clearly the externality hasn't been entirely internalised, but there has been a reduction in its effects. Some of the other legislation is quite recent and thus difficult to determine the

effect of but ~~deadly~~ he is likely to increase consumption of vaccinations. In doing so however they may make vaccinations more expensive for adults who are not subsidised. A potential trade off between horizontal equity and efficiency, as the vaccination won't be accessible to all.

Another contemporary example ^{of} ^{market failure} Market Failure in Australia has been tobacco. In 2016 \$52 ^{billion} million was spent on cigarettes alone. Due to the negative third party effects on the health of others, ~~sm~~ tobacco smoking is a negative externality. It is also being ~~underconsumed~~ overconsumed from the perspective of society, and is thus a clément good.



Because of its negative third party effects, a tobacco's marginal social ~~cost~~ ^{benefit} is lesser than its marginal private benefit. This means it is being overconsumed from the perspective of society. Although the free market is operating at Q_1, P_1 , the optimal efficiency is Q_2, P_2 . Thus there is a misallocation of resources, and market failure occurs.

The government has intervened to ~~make~~ tobacco reduce the effects of this market failure. In 2016 they introduced four 12.5% tax increases for the result 4 years on tobacco. This will rise the price of a packet of cigarettes to \$40 by 2020. Thus

have done this in an attempt to internalise the externalities decreasing the private marginal benefit of tobacco.

The Government has also utilised public messaging and advertising to reduce demand and consumption of tobacco, highlighting its negative health effects.

Finally, the Government has used legislation to intervene in the Market Failure, introducing the Plain Tobacco Plain Packaging Act to restrict the appeal of tobacco related products, and have also legislated to make tobacco consumption ~~less~~ illegal in public areas.

The extent of this intervention has been relatively successful, after new taxes in 2017, cigarette tobacco consumption fell 0.5% from 14.3% to 13.8% in adults. Clearly the market failure is still occurring however, and the externalities have not been completely internalised. Other ~~legis~~ interventions like legislation and advertising have seen a significant decrease in tobacco consumption over the decade. ~~One~~ In raising the price of tobacco to decrease its marginal private benefit, the Government has sacrificed equity for efficiency. Tobacco is now less accessible to low income households, while the rich are less affected. Thus it can be said that Government intervention has been relatively successful in reducing the effects of market failure, but equity has been compromised to do so.

Another contemporary example of Market Failure in Australia has been the fishing ~~of~~ in the Western Australian coastal bioregion, which has seen the decrease of populations like Dhufish and other demersal fish. Fishing ~~is a~~ caused market failure due to it being a common property good.

A common property good is one that is non-excludable to non-payers, and is rival in consumption.

Because nobody owns the fish in Western Australia, everyone is allowed to consume the fish. However, this means everyone is incentivised to fish, resulting in overfishing ^{to the point} where other consumers cannot consume the fish due to declining stocks, and future society loses out. This is termed 'tragedy of the commons' and is essentially what has occurred in Western Australia. Overfishing has meant future consumers may be unable to catch fish. As the private marginal benefit is ~~the~~ greater than the social marginal benefit of ~~of~~ fishing, it results in market failure. ~~In order to address~~

In order to address this ~~is~~ market failure, the Government has imposed licenses of up to \$40 on fishing boats and other off shore methods of fishing. This is an attempt to disincentivise overfishing by ~~increasing the price~~ decreasing the private benefits of the individual.

The government has also introduced legislation making it illegal to catch fish under a certain size or catch endangered fish, allowing fish populations to recover.

Finally, the Government has introduced protected marine parks in Rottneest and Julien bay. to protect fish ~~of~~ stocks from overfishing. The extent of this intervention has been fairly successful. In 2012 the Government determined 100% of recreational fisheries had an 'acceptable' catch rate, up from 85% the year before. They also found only 5% of fish stocks were endangered in 2016 after this intervention, down from 11% years before. In imposing licenses, the Government has made fishing less accessible to lower income households, sacrificing equity for efficiency. The most failure still ~~exists~~ ^{exists} however.

* Sorry about the writing here